Chapter 2: In-Class Questions

EC306 Wages and Employment, Fall 2026

These questions cover Chapter 2, *Introduction to the Canadian Labour Market, Measurement, and Research*. They are written in the style of the short-answer section of the midterm, where each part is worth 5 marks. We work through the answers in class, so solutions are not posted.

Question 1

A labour force survey of a small province produces the following estimates for people aged 15 and older:

Status	Thousands
Worked during the reference week	1,150
Have a job, but were away on vacation or sick leave	90
Did not work, and searched for work in the past four weeks	80
Did not work, on temporary layoff and expecting recall	20
Full-time students, not working or looking for work	160
Retired	380
Want a job, but stopped looking because they believe none is available	30
Caring for family at home, not looking for work	90
Total	**2,000**

a) Calculate the labour force participation rate, the employment rate, and the unemployment rate.

b) The economy weakens, and 20,000 of the job searchers stop looking because they believe no work is available. Recalculate the three rates. Does the unemployment rate give an accurate picture of what happened? Explain.

Question 2

Using a sample of employees aged 25 to 64, a researcher estimates two regressions of the hourly wage (in dollars). Standard errors are in parentheses.

	(1)	(2)
Union member (1 = yes, 0 = no)	4.80 (0.30)	2.10 (0.40)
Years with current employer		0.55 (0.03)
Constant	27.40 (0.15)	23.90 (0.20)

a) Interpret the union coefficient in column (1). Can we be confident that the true coefficient is not zero? Explain.

b) Adding years with the current employer shrinks the union coefficient to 2.10. A classmate concludes that unions raise wages by only $2.10 an hour. Do you agree? Explain.